

IOWA CITY COMMUNITY SCHOOL DISTRICT ANNUAL FINANCIAL HEALTH REPORT

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Description of Financial Indicator Ratios

The ten ratios (not factoring in the "contribution ratio") selected for inclusion in this report were identified as being the most efficacious predictors of financial health for Iowa K-12 public schools as supported by formal quantitative research.

An operational definition has been constructed for each ratio used in this report. There is not one single standard under which all ratios have a consistent definition. For the purpose of this report the most commonly identified methods were used to construct the ratio definition. Where a common computational method was not identified, a logical "best guess" candidate was used and applied consistent with Iowa school business best practice. Benchmarks have been included that are also consistent with prior research reviews. Where no ratio benchmark was drawn from literature, none was included with the working definition. The source of the data for most of the ratios used is the Certified Annual Report (CAR) required by the Iowa Department of Education each year. Data for the unspent balance is available from the Iowa Department of Management's website.

Creditors Equity Ratio (CER):

The Creditors Equity Ratio is designed to measure the amount of the current assets that are provided by creditors. The amount of short-term borrowing would be symptomatic of how dependent the school is on credit to cash flow business operations. One would expect to see an inverse relationship of this indicator to that of the Day's Net Cash Ratio. Logic would suggest that as a school increases available cash to service operations, the less dependent on short-term debt it would become. The operational equation is: $[\text{creditor's equity ratio} = \text{Iowa Schools Cash Management Program restricted assets} / \text{current assets}]$. Ideally the minimum ratio would be zero. This indicates a condition where no short-term borrowing is required.

Current Ratio (CR):

The Current Ratio is one of the most widely used measures of short-term liquidity for both public and private sector organizations. It is used to predict the schools ability to meet its current obligations from current assets from continuing operations. If this were a private business it would in essence measure working capital. The operational equation is: $[\text{current ratio} = \text{current assets} / [\text{current liabilities plus deferred inflows}]]$. The minimum target range for this indicator is 1.0. An indicator of less than 1.0 would indicate a condition where the district has more current liabilities than assets.

Day's Net Cash Ratio (DNCR):

The Day's Net Cash Ratio is typically calculated at the end of a fiscal period and gives a good indication of how long a district can operate without the additional infusion of revenue. One of the limitations of this indicator is that district expenditures are most generally made in large amounts on only a few days each month. An example would be monthly or bi-monthly payroll and board approved vendor payments once or twice per month. At the same time, most schools receive revenue in large amounts only a few times per month. An example would be state aid distributions, which are received once per month, or property tax distributions that are received twice per year. The timing of these receipts and expenditures is important in maintaining effective business operations. For this reason the Day's Net Cash Ratio is important. Inadequate cash on hand to service expenditure obligations requires the school to borrow funds creating added debt expense not directly tied to student instruction. "Excessive" accumulations of cash from community taxpayers' does not fit well within the purpose of most K-12 school operations. The operational equation is: $[\text{day's net cash ratio} = (\text{cash} + \text{investments}) / (\text{total general fund expenditures} / 365)]$. The target range for this indicator is 90 to 120 days. In Iowa, it is especially important to note that state foundation aid to schools ends each fiscal year in mid-June. The first payment of state aid for the new fiscal year does not begin again until mid-September, a full 90 day gap. In addition to this gap, districts typically secure new fiscal year supplies during the summer months so expenditures increase during a time when revenue are typically at their lowest levels.

Direct Foundation Aid Ratio (FAR):

The Foundation Aid Ratio measures the amount of total General Fund revenue coming directly in the form of state aid. Since state aid is pupil driven under the Iowa funding formula, assumptions are this ratio would fluctuate in direct relationship to enrollment trends. While this is technically true, the Iowa funding formula does provide schools with a type of safety net when experiencing enrollment decline. This "scale down" provision has the effect of softening or delaying the revenue declines caused by the loss of students. State aid is the largest single source of school revenue. The operational equation is: $[\text{foundation aid ratio} = \text{direct state aid} / \text{general fund revenue}]$. No suggested target range for Iowa schools can be determined for the indicator at this time.

Description of Financial Indicator Ratios - Continued

Interest Income Ratio (IIR):

The Interest Income Ratio measures earnings on idle monies. This indicator can tell how aggressively the district's money has been managed and what contribution the investment income is making to total revenue. It is anticipated that this ratio should rise and fall in direct relationship to the Days Net Cash Ratio. One reservation about using this ratio is that it is very susceptible to market fluctuations that are not within the control of district management. The operational equation is: $[\text{interest income ratio} = \text{interest income} / \text{revenue}]$. The target for this ratio is simply the higher the better. A low ratio could indicate poor money management, few liquid cash assets, poor market conditions, or a combination of these factors.

Receivables and Inventory Ratio (RIR):

The Receivables and Inventory Ratio provides a measure of total current assets tied up in accounts receivable and inventory. Accounts receivable and inventory items are not truly available as working capital and are not available for the district to pay bills with. It is possible that when a greater proportion of the current assets are in receivables and inventory, the district balance sheet would look healthy but the district does not have the ability to meet immediate expenditure needs. This ratio may also provide insight on the timeliness of state aid payments and other intergovernmental obligations owed to the district. The ratio also gives an indication of how well the district is managing accounts receivable and if inventory stockpiling is occurring. The operational equation is: $[\text{receivables and inventory ratio} = (\text{receivables} + \text{inventories}) / \text{current assets}]$. The target for this ratio should be as close to zero as possible.

Student Transportation Ratio (STR):

The Student Transportation Expenditure Ratio measures the amount of the school budget spent on transportation costs. Examples would include operating and maintaining bus routes, driver costs, equipment purchases, and fuel. A higher ratio may suggest to management that a disproportionate amount of resources are being spent in this area or the district's service territory is greater than most comparable districts. The operational equation is: $[\text{student transportation ratio} = \text{transportation expenditures} / \text{general fund expenditures}]$. No suggested target range for Iowa schools can be determined for the indicator at this time.

Unspent Balance Ratio (UBR):

The Unspent Balance Ratio measures the amount of cumulative district spending authority not spent at the end of each fiscal year. This ratio is unique to Iowa schools. Iowa schools are funded according to a state formula, which is different than any other in the country. Because spending authority is vitally important to the financial health of any Iowa district, it must be included as an indicator in any test group of ratios designed to assess fiscal health. The data for this indicator are provided by the Iowa Department of Management on the report titled Unspent Balance Calculations. The operational equation is: $[\text{unspent balance ratio} = \text{unspent cumulative spending authority} / \text{maximum budget authority}]$. The target range for this indicator logically is roughly equal to that of fund balance. This is because fund balance is the closest approximation of this indicator defined in previous research done in other states. The suggested minimum target for this indicator should be 5%.

Financial Solvency Ratio (FSR):

This is a measure of financial health that resulted from the "Study of School Corporation Financial Operations" study conducted in 1990 by Ehlers and revised in 2011. The ratio of unassigned plus assigned general fund balance to actual revenues is defined in the following operational equation: $(\text{financial solvency ratio} = \text{unassigned plus assigned general fund balance} / \text{general fund revenues-AEA flowthrough})$. The target ranges and classification criteria established by the Ehlers study are as follows: (a) target solvency position equals 5.00% through 10.00%, (b) acceptable solvency position equals 0.00% through 4.99%, (c) solvency alert equals -3.00% through -0.01%, and (d) solvency threat equals less than -3.00% (ISCAP, 1991).

Employee Cost Ratio (ECR):

This ratio was not a part of the original empirical study conducted on financial health measures in 2005. Because education is a service based industry, staffing costs represent the single largest category of General Fund expenditures for schools. This ratio has been added because it illustrates important trend changes in staff costs as a percent of total General Fund expenditures. Historically, budget data show districts spending from 75 to 85 percent of their General Fund on staff related costs. The operational equation is: $[\text{wages plus benefits} / \text{general fund expenditures}]$. The suggested target range for Iowa schools is less than 80%. Districts exceeding this percentage over time typically exhibit General Fund financial stress.

Executive Summary

- The District's overall financial condition declined during Fiscal Year 2022 primarily due to the timing on the use of federal resources and the implementation of a full scale K-12 online learning program.
- The District's unassigned General Fund balance decreased from \$11,645,791 in FY2021 to \$5,250,261 in FY2022.
- The financial solvency ratio decreased from 6.35% in FY2021 to 2.77% for FY2022. This ratio is below the target level of 10% recommended for this key financial ratio. Bond rating agencies put great weight on this indicator when analyzing the District's credit rating. Returning to a level within this recommended target range improves the position the District carries when sales tax or general obligation bonds are issued.
- The FY2022 total spending authority balance of \$100,394 carried forward to the FY2022 budget decreased from the prior year carryover balance of \$3,167,627. Total FY2022 General Fund revenues increased from ESSER resources provided to school by the federal government however the district increased staff to serve student needs and added the online programming.
- The certified enrollment of 14,394.9 was taken on October 1, 2021. This count represents an increase of 111.1 students from the prior year and was considered a partial return of the 288 student decline during pandemic conditions of the prior year. Student growth has presented many challenges for the district as 413.3 students were added in the prior 5 years or a 2.95% increase in the total student enrollment. The return of students and any developing enrollment trend will be important to the district's financial condition for future periods.
- Interest income received was lower for the investments of idle funds. Rates on district investments were under .20% during FY21 and FY22 which is significantly lower than rates near 2% in FY20. Interest earnings in the General Fund decreased from \$249,945 in FY2020 to \$42,772 in FY22. Low investment rates on idle funds during the year contributed to the decrease in interest earnings.
- The District ended FY2021 with a total General Fund balance of \$15,726,539. For FY2022 this balance decreased to \$9,956,090. This decrease of \$5,770,449 is primarily due to an increase in overall General Fund expenditures relative to revenues.
- District long-term bond debt as of June 30, 2022 totaled \$164,020,000 compared to \$170,605,000 the prior year. Interest payments of \$6,344,536 were made in FY2022 to service this debt. The PPEL fund capital loan note principal balance as of June 30, 2022 was \$2,765,000 with interest paid on this obligation of \$75,263.
- Local Option Sales Tax revenue for FY2022 totaled \$17,595,217 with expenditures / transfers of \$15,295,123 compared to FY2021 revenue of \$14,539,517 and expenditures / transfers of \$19,516,761. FY2014 was the first implementation year of the 10 year Master Facility Plan. The Secure an Advanced Vision for Education (SAVE) revenue purpose statement passed on February 5, 2013 and extended on November 2, 2021 and legally authorizes the District to use the sales tax through 2050. The following table provides the current SAVE debt status as of June 30, 2022:

Calendar Year	Issue Amount	Remaining Balance	Interest Paid
2015	\$60,030,000	\$34,115,000	\$1,487,205
2017	\$21,185,000	\$12,995,000	\$ 354,806
2018	\$30,285,000	\$19,095,000	\$ 572,317
- The Special Education program fund balance ended FY2022 with expenditures exceeding revenue with a deficit balance of (\$9,968,520) compared to FY2021 with a (\$9,830,075) deficit balance. The deficit balance increased by \$138,445 from the prior year. Increased Medicaid revenue compared to the prior year assisted the district in managing the impact of the deficit.
- The Student Transportation ratio shows a small decrease from 2.01% in FY2021 to 1.94% in FY2022. FY2019 was the first year of the current contract cycle agreement between Illinois Central School Bus and the District. The District negotiated a reduction in the contract terms during the COVID period to assist with the costs included in this ratio.
- The District's taxable valuation continues to grow. In January 2022 (budget year FY2023) the valuation is computed to be \$7,531,212,452 compared to \$7,489,730,688 in FY2021 (budget year 2022), an increase of \$41,481,764 or .55%. This growth is less than prior years primarily due to state legislative actions related to valuations.
- The Day's Net Cash Ratio shows that the District's cash flow capacity decreased. On June 30, 2021, the District had a

Ten Point Financial Condition Test Ratio Indicators

Assessment	Benchmark		District Ratio Values	
Indicator Ratio	Best Trend Direction	Recommended Target Value	District Value 2021	District Value 2022
Creditor Equity Ratio	Lower	0.0%	0.00%	0.00%
Current Ratio	Higher	100% or above	116.1%	109.6%
Day's Net Cash Ratio	Higher	90 days or above	41.7	37.6
Employee Cost Ratio	NA	75 - 85%	82.0%	85.4%
Foundation Aid Ratio	NA	Range (see ratio definition)	33.1%	32.0%
Financial Solvency Ratio	Higher	10% (Recommended not to exceed 25%)	6.35%	2.77%
Investment Income Ratio	Higher	NA	0.01%	0.02%
Receivables & Inventory Ratio	Lower	0.0%	17.16%	14.02%
Student Transportation Ratio	Lower	NA	2.01%	1.94%
Unspent Balance Ratio	Higher	10% (Recommended not to exceed 25%)	1.68%	0.05%

Color Key:

Green - indicator is within target range

Yellow - indicator is nearing target range

Red - indicator is below the target range

Selected Balance Sheet Comparisons
General Fund Only

	FY21	FY22	\$ Change	% Change
Assets:				
Cash & Investments	\$21,217,892	\$20,827,550	(\$390,342)	-1.8%
Receivables	\$91,131,156	\$90,905,826	(\$225,330)	-0.2%
Prepaid	\$1,316,399	\$1,738,306	\$421,907	32.1%
Other Assets	\$0	\$0	\$0	0.0%
SubTotal Current Assets	\$113,665,447	\$113,471,682	(\$193,765)	-0.2%
Long-Term Assets	\$0	\$0	\$0	0.0%
SubTotal Assets	\$113,665,447	\$113,471,682	(\$193,765)	-0.2%
Deferred Outflows	\$0	\$0	\$0	0.0%
SubTotal Assets & Outflows	\$113,665,447	\$113,471,682	(\$193,765)	-0.2%
Liabilities:				
Payables	\$1,754,909	\$1,957,677	\$202,768	11.6%
Borrowing	\$0	\$0	\$0	0.0%
Salary & benefits	\$16,900,047	\$18,741,295	\$1,841,248	10.9%
Other Liabilities	\$7,678	\$0	(\$7,678)	-100.0%
SubTotal Current Liabilities	\$18,662,634	\$20,698,972	\$2,036,338	10.9%
Pension & LT Liabilities	\$0	\$0	\$0	0.0%
SubTotal Liabilities	\$18,662,634	\$20,698,972	\$2,036,338	10.9%
Deferred Inflows	\$79,276,274	\$82,816,620	\$3,540,346	4.5%
SubTotal Liabilities & Inflows	\$97,938,908	\$103,515,592	\$5,576,684	5.7%
Fund Balance:				
Nonspendable	\$1,316,399	\$1,738,306	\$421,907	32.1%
Restricted	\$2,764,349	\$2,967,523	\$203,174	7.3%
Committed	\$0	\$0	\$0	0.0%
Assigned	\$0	\$0	\$0	0.0%
Unassigned	\$11,645,791	\$5,250,261	(\$6,395,530)	-54.9%
SubTotal Fund Balance (FB)	\$15,726,539	\$9,956,090	(\$5,770,449)	36.7%

Selected Revenue & Expenditures Comparison
General Fund Only

	FY21	FY22	\$ Change	% Change
Revenues:				
Local sources	\$85,313,087	\$82,792,702	(\$2,520,385)	-3.0%
State sources	\$89,746,350	\$89,256,652	(\$489,698)	-0.5%
Federal sources	\$15,197,035	\$24,567,224	\$9,370,189	61.7%
Other sources	\$31,862	\$48,516	\$16,654	52.3%
Total revenues	\$190,288,334	\$196,665,094	\$6,376,760	3.4%
Expenditures:				
Instruction	\$124,045,311	\$135,406,517	\$11,361,206	9.2%
Support services	\$60,785,364	\$66,597,175	\$5,811,811	9.6%
Enterprise	\$0	\$0	\$0	0.0%
Community Ed	\$17,427	\$31,851	\$14,424	82.8%
Facilities & Debt	\$0	\$0	\$0	0.0%
Other expenditures	\$950,000	\$400,000	(\$550,000)	-57.9%
Total expenditures	\$185,798,102	\$202,435,543	\$16,637,441	9.0%
Changes of Rev over Exp	\$4,490,232	(\$5,770,449)	(\$10,260,681)	228.5%

Creditor's Equity Ratio

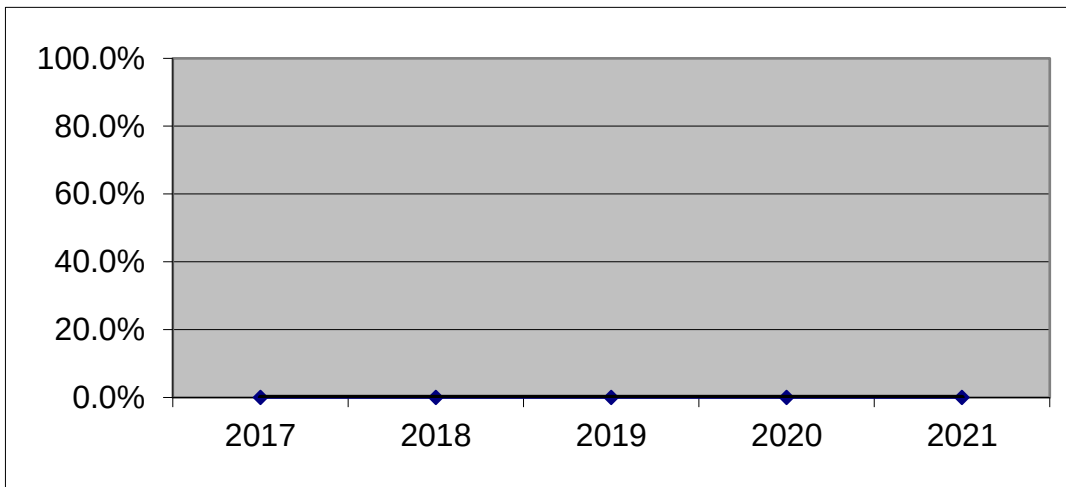
Formula:

$$\frac{\text{Current Restricted Assets}}{\text{Total Current Assets}}$$

Financial Information and Computation:

Year	ISCAP	Total Assets	Ratio
CAR reference	BalSheet C1L8	BalSheet C1L11	
2017	\$0	\$110,543,742	0.0%
2018	\$0	\$110,566,886	0.0%
2019	\$0	\$107,370,171	0.0%
2020	\$0	\$111,768,172	0.0%
2021	\$0	\$113,665,447	0.0%
2022	\$0	\$113,471,682	0.0%

Ratio explanation: Short-term borrowing represents xx.x% of total current assets



Purpose:

Measures how much of the District's current General Fund equity is funded with borrowed money.

Trend:

Stable

Target:

Ideally the ratio would be zero. This would indicate a condition where no short-term borrowing is required.

Need/Concern:

This indicator is at the desired level at this time.

Corrective Action:

None needed at this time.

Contribution Ratio

Formula:
$$\frac{\text{Line Source Revenue}}{\text{Total Revenue}}$$

Financial Information and Computation:

	FY 2021	
Line	Amount	Ratio
Source		
Local	\$85,313,087	44.8%
State	\$89,746,350	47.2%
Federal	\$15,197,035	8.0%
Other	\$31,862	0.0%
Total	\$190,288,334	100.0%

needs update

	FY 2022	
Line	Amount	Ratio
Source		
Local	\$82,792,702	42.1%
State	\$89,256,652	45.4%
Federal	\$24,567,224	12.5%
Other	\$48,516	0.0%
Total	\$196,665,094	100.0%

Year	Local	State	Federal	Other
2016	44.3%	51.3%	4.3%	0.1%
2017	44.5%	51.1%	4.3%	0.1%
2018	45.2%	50.2%	4.5%	0.1%
2019	45.4%	50.1%	4.4%	0.1%
2020	45.3%	50.5%	4.0%	0.2%
2021	44.8%	47.2%	8.0%	0.0%
2022	42.1%	45.4%	12.5%	0.0%

Purpose: Measures local taxation effort.

Trend: Due to rise in federal funds provided from pandemic response, the local and federal percentage will be lower in FY21-23.

Target: NA

Need/Concern: The District has a stable contribution from local and state revenues. Federal revenues increased significantly due to ESSER funding provided by the federal government as a response to COVID 19. Higher federal revenues received for FY21 and 22 from ESSER funding and expected higher level for FY23.

Corrective Action: NA

Current Ratio

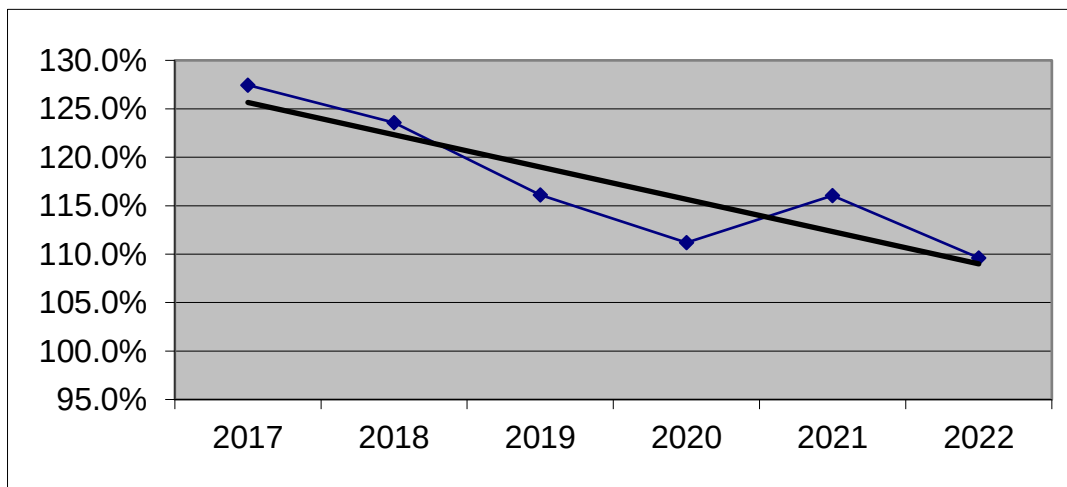
Formula:

$$\frac{\text{Total Current Assets}}{\text{Total Current Liabilities plus Deferred Inflows}}$$

Financial Information and Computation:

Year	Assets	Liabilities	Ratio
CAR reference	BalSheet C1L11	BalSheet Tab FHR*	
2017	\$110,543,742	\$86,736,315	127.4%
2018	\$110,566,886	\$89,481,141	123.6%
2019	\$107,370,171	\$92,483,420	116.1%
2020	\$111,768,172	\$100,531,865	111.2%
2021	\$113,665,447	\$97,938,908	116.1%
2022	\$113,471,682	\$103,515,592	109.6%

Ratio explanation: Short-term solvency represents xx.x% of assets to liabilities



Purpose:

Measures the District's short-term solvency position .

Trend:

Downward trend over last five years with fluctuation during pandemic period.

Target:

A minimum target would be 100%. An indicator less than 100% would indicate a condition where the District has more liabilities than assets.

Need/Concern:

This indicator declined in FY18-20 as more cash was spent due to the opening of Liberty High school and COVID in FY20. This resulted in a lower asset total when compared to liabilities.

Corrective Action:

Continue to monitor district cash flows and expenditures, especially as enrollments fluctuate and the elimination of ESSER funding in FY2024. Consider need for greater cash reserve levy due to

Day's Net Cash Ratio

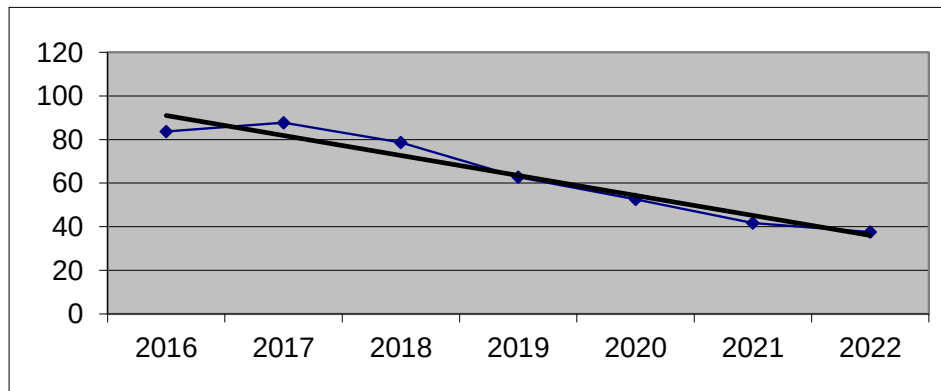
Formula:

$$\frac{\text{Cash \& Investments}}{\text{Average Daily Cash Expenditures}}$$

Financial Information and Computation:

Year	Cash & Investments	Total Expenditures	Daily (365) Expenditures	Ratio In Days
CAR reference	BalSheet C1L1	ExpGF C8L42		
2016	\$33,270,811	\$145,100,058	\$397,534	84
2017	\$36,965,402	\$153,782,608	\$421,322	88
2018	\$35,749,416	\$165,961,057	\$454,688	79
2019	\$29,661,358	\$172,645,991	\$473,003	63
2020	\$24,963,852	\$173,399,140	\$475,066	53
2021	\$21,217,892	\$185,798,102	\$509,036	42
2022	\$20,827,550	\$202,435,543	\$554,618	38

Ratio explanation: Number of days the district can carry expenditures without cash infusion



Purpose:

Measures short-term solvency and the ability to cash flow expenditures without receiving additional revenue.

Trend:

Ratio has declined over last five years. Matches the funding method as federal programs have become reimbursement basis vs upfront funding

Target:

90 days.

Need/Concern:

The cash reserve levy helps to maintain this important indicator. Cash reserve levy for FY20 to FY22 were slightly lower to maintain tax rate levels. District has large balance in receivables at 6/30/21 and 22 from 4th quarter ESSER claims for expenditures incurred in that quarter.

Corrective Action:

Levy additional cash reserve.

Employee Cost Ratio

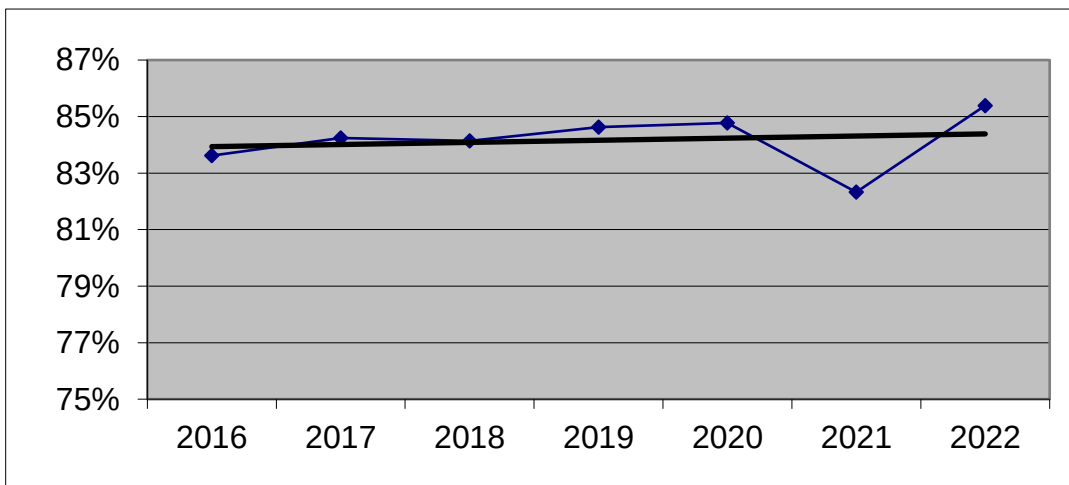
Formula:

$$\frac{\text{Wages and Benefit Costs}}{\text{Total General Fund Expenditures}}$$

Financial Information and Computation:

Year	Wages and Benefits	Total GF Expenditures	Ratio
CAR reference	ExpGF C1&2L42	ExpGF C8L42	
2016	\$121,335,965	\$145,100,058	84%
2017	\$129,554,296	\$153,782,608	84%
2018	\$139,643,537	\$165,961,057	84%
2019	\$146,108,785	\$172,645,991	85%
2020	\$146,997,039	\$173,399,140	85%
2021	\$152,960,267	\$185,798,102	82%
2022	\$172,860,456	\$202,435,543	85%

Ratio explanation: What xx.xx% of total GF expenditures does staffing costs represent?



Purpose:

Measures the percent dedicated to staffing costs which is the single largest category of expenditures in the General Fund budget.

Trend:

Higher

Target:

80 percent of total expenditures

Need/Concern:

An increasing ratio indicates more of the total district resources are going into employee costs.

Foundation Aid Ratio

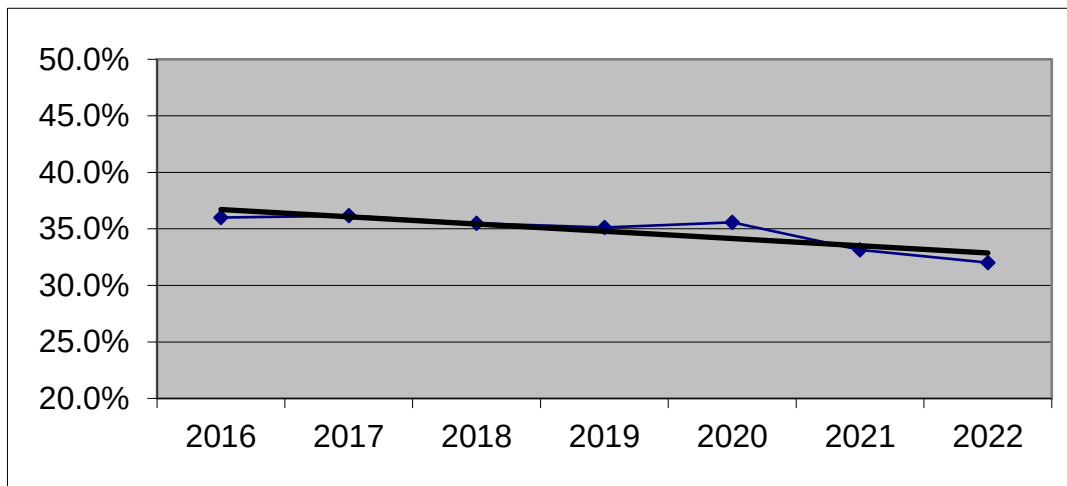
Formula:

$$\frac{\text{Direct State Aid}}{\text{Total General Fund Revenue}}$$

Financial Information and Computation:

Year	State Aid	Total Revenue	Ratio
CAR reference	Rev. C1L23	Rev. C1L58	
2016	\$53,832,975	\$149,491,210	36.0%
2017	\$56,859,433	\$157,254,601	36.2%
2018	\$57,928,982	\$163,239,375	35.5%
2019	\$58,457,815	\$166,446,997	35.1%
2020	\$60,383,410	\$169,748,696	35.6%
2021	\$63,072,660	\$190,288,334	33.1%
2022	\$62,953,880	\$196,665,094	32.0%

Ratio explanation: What xx.x% of total revenue does foundation aid represent.



Purpose:

Measures resource contribution.

Trend:

Stable

Target:

No target is established for this ratio. Under the school aid formula when the District's property wealth grows a smaller percentage of the total revenue is contributed in the form of state aid. District's property growth has kept this ratio steady.

Need/Concern:

None at this time. Increased federal revenues from ESSER funds have reduced the ratio for FY21.and FY22

Corrective Action:

None needed at this time

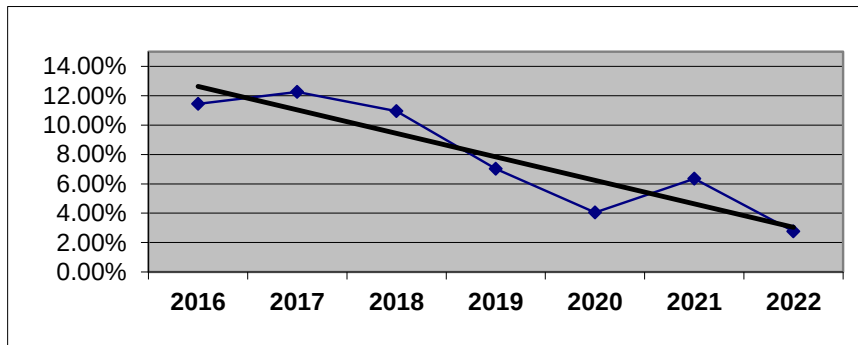
Financial Solvency Ratio

Formula:
$$\frac{\text{Assigned + Unassigned Fund Balance (AFB+UFB)}}{\text{Total GF Revenue - AEA Flowthrough}}$$

Financial Information and Computation:

Year		AFB + UFB	Revenue - Flowthrough	Ratio
CAR reference		Balsheet C1L39 + C1L40	(Rev. C1L58) - (ExpC8L36)	
2016		\$16,466,886	\$143,837,128	11.45%
2017		\$18,550,551	\$151,347,829	12.26%
2018		\$17,211,890	\$157,077,184	10.96%
2019		\$11,257,210	\$160,108,800	7.03%
2020		\$6,872,407	\$169,748,696	4.05%
2021		\$11,645,791	\$183,459,231	6.35%
2022		\$5,250,261	\$189,767,751	2.77%

Ratio explanation: What xx.x% of total revenue does fund equity represent.



* new formula used

Purpose: Measures the District's Fund Equity position.

Trend: Decline in prior three years with slight recovery for FY21. Increased staffing in FY22 will be reviewed for future periods.

Target: Short-term 5% / Long-term 10%.

Need/Concern: This indicator has dropped below short-term goal, need to work for target position of 5-10%

Corrective Action: Increase ratio to long-term target level.
Reduce/control expenditures and c
ontinue to levy cash reserves to improve this

Investment Income Ratio

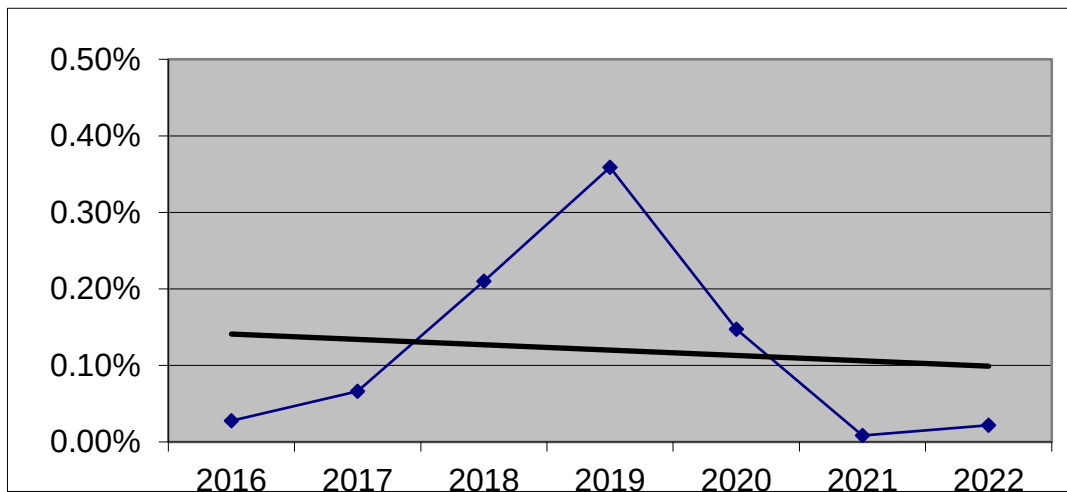
Formula:

$$\frac{\text{Interest Income}}{\text{Total General Fund Revenue}}$$

Financial Information and Computation:

Year	Interest	Total Revenue	Ratio
CAR reference	Rev. C1L8	Rev. C1L58	
2016	\$41,443	\$149,491,210	0.03%
2017	\$103,842	\$157,254,601	0.07%
2018	\$342,600	\$163,239,375	0.21%
2019	\$597,245	\$166,446,997	0.36%
2020	\$249,945	\$169,739,238	0.15%
2021	\$15,900	\$190,288,334	0.01%
2022	\$42,772	\$196,665,094	0.02%

Ratio explanation: What xx.xx% of total revenue does interest in idle funds represent.



Purpose:

Measures operating results.

Trend:

Stable

Target:

Stable or upward trends are desirable for this indicator.

Need/Concern:

Interest rate dropped significantly in April 2020 decreasing amounts realized on investments beginning in FY20. Interest earnings were much lower due to the very low rates throughout the year FY21 and FY22 .

Corrective Action:

Monitor idle funds closely and take advantage of improving market conditions that have started in FY23.

Receivables & Inventory Ratio

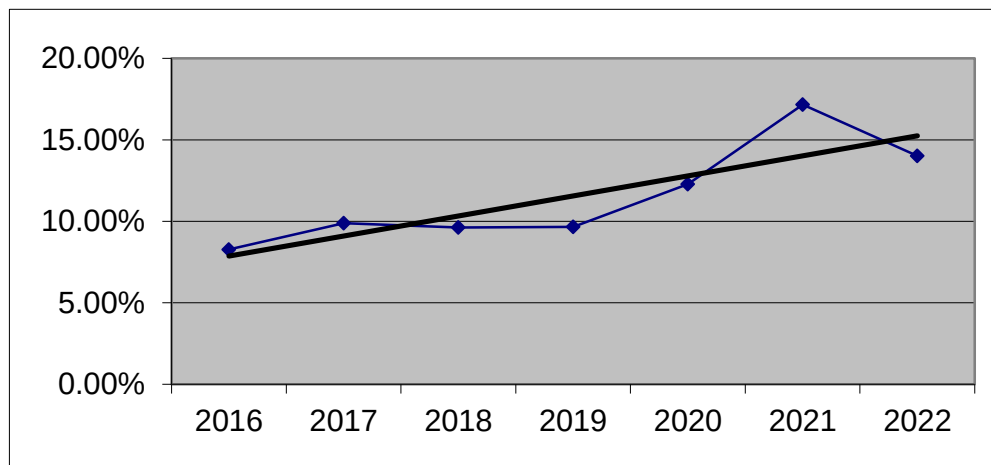
Formula:

$$\frac{\text{Receivables and Inventory}}{\text{Total Current Assets}}$$

Financial Information and Computation:

Year	Receivables & Inventory	Total Assets	Ratio
CAR reference	BalSheet C1L3:5	BalSheet C1L11	
2016	\$8,553,067	\$103,385,780	8.27%
2017	\$10,927,239	\$110,543,742	9.88%
2018	\$10,645,602	\$110,566,886	9.63%
2019	\$10,372,101	\$107,370,171	9.66%
2020	\$13,721,414	\$111,768,172	12.28%
2021	\$19,505,188	\$113,665,447	17.16%
2022	\$15,906,125	\$113,471,682	14.02%

Ratio explanation: What xx.xx% of total revenue does rec. / inv. represent.



Purpose:

Measures movement and distribution of current assets.

Trend:

Relatively stable but fluctuation in FY21&22 due to ESSER

Target:

Stable to lower is desirable for this indicator.

Need/Concern:

None at this time. High 4th quarter expenditures funded by ESSER increased receivables by \$8M at 6/30/21

Corrective Action:

Awareness of the funds yet to be received by the district is always valuable information, however some receivables such as income surtax, property tax, and special education tuition billings are not within management's control to influence

Student Transportation Ratio

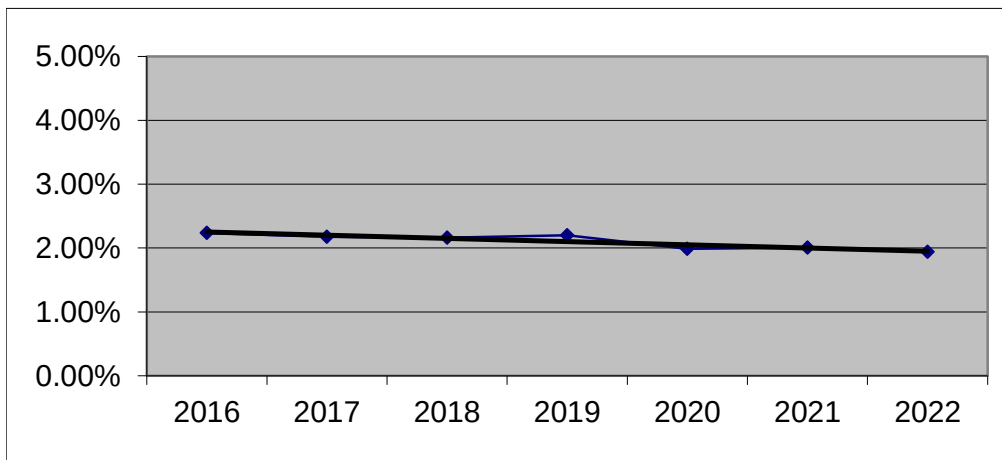
Formula:

$$\frac{\text{Student Transportation Expense}}{\text{Total General Fund Expenditures}}$$

Financial Information and Computation:

Year	Transportation	Total Expenditures	Ratio
CAR reference	ExpGF C8L29	ExpGF C8L42	
2016	\$3,243,367	\$145,100,058	2.24%
2017	\$3,349,470	\$153,782,608	2.18%
2018	\$3,587,382	\$165,961,057	2.16%
2019	\$3,793,880	\$172,645,991	2.20%
2020	\$3,446,005	\$173,399,140	1.99%
2021	\$3,728,385	\$185,798,102	2.01%
2022	\$3,925,952	\$202,435,544	1.94%

Ratio explanation: What xx.xx% of total expenditures does std. transportation represent.



Purpose:

Measures resource distribution results.

Trend:

Lower

Target:

A stable to lower trend is desirable for this indicator.

Need/Concern:

Efficient routing of buses occurred during transition through the new construction, student growth, and realignment of attendance boundaries. District negotiated reduced costs during pandemic period that assisted in controlling this ratio in FY20. Maintaining these transportation controls will be important in control of this ratio.

Corrective Action:

Maintain control over discretionary busing costs.

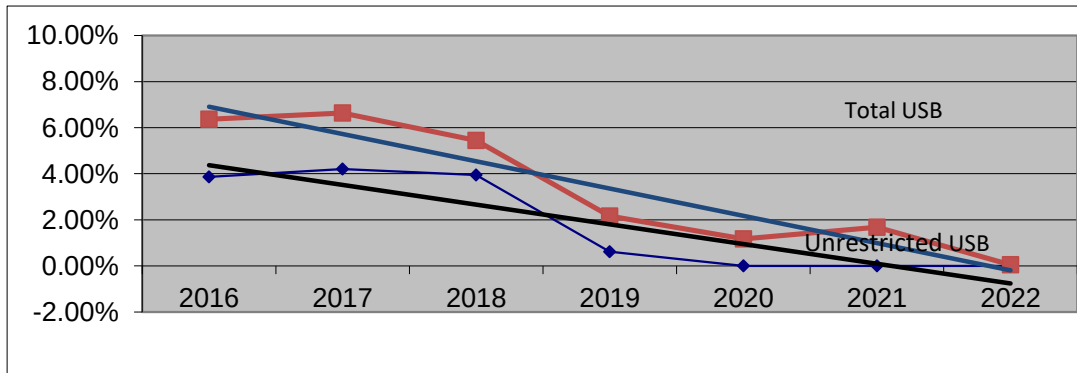
Unspent Balance Ratio

Formula:

$$\frac{\text{Unspent Spending Authority}}{\text{Maximum Budget Authority}}$$

Financial Information and Computation:

Year	Maximum Authorized	Total Unspent Bal.	Unrestricted Unspent Bal.	Regular UB Ratio	Unreserv. UB Ratio
2016	\$154,957,468	\$9,857,410	\$5,988,862	6.36%	3.86%
2017	\$164,712,579	\$10,929,971	\$6,925,049	6.64%	4.20%
2018	\$175,512,933	\$9,551,876	\$6,925,049	5.44%	3.95%
2019	\$176,474,087	\$3,828,096	\$1,094,424	2.17%	0.62%
2020	\$175,447,717	\$2,048,577	\$0	1.17%	0.00%
2021	\$189,019,995	\$3,167,627	\$0	1.68%	0.00%
2022	\$202,535,938	\$100,394	\$0	0.05%	0.00%



*Estimated

Purpose: Measures the District's unbudgeted spending reserves.

Trend: Lower

Target: Total Unspent Balance at 10 to 15 percent.
Unrestricted Unspent Balance > 5 percent.

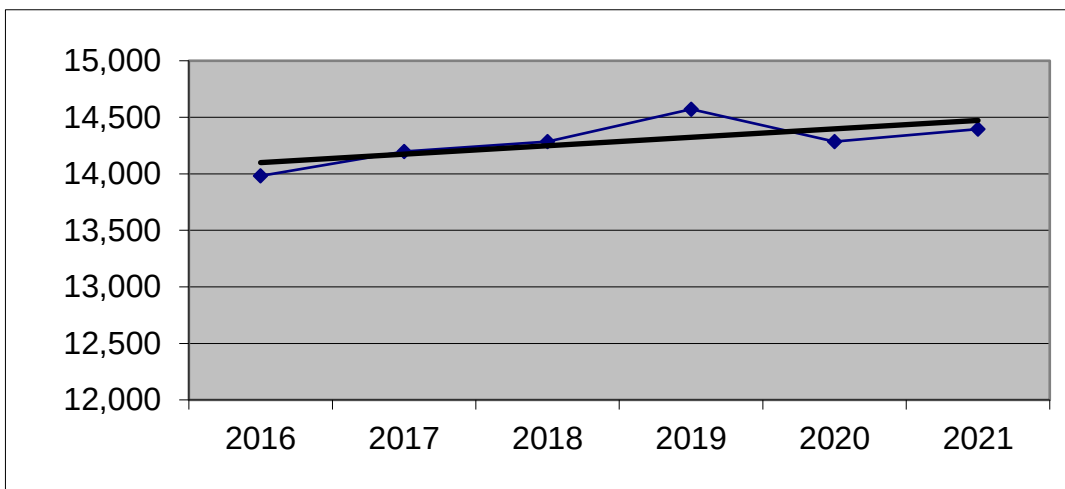
Need/Concern: An adequate level of budget reserves are important so the District can respond to emergencies and student growth. Minimum of 5% to 10% for contingency expenditures is recommended. Higher expenditures in prior two years have resulted in decline in this ratio with slight recovery in FY21 but increased expenditures from online program and ESSER funded activities have impacted balances. As enrollment levels off, staffing and expenditure levels will need to be adjusted

Corrective Action: Adjustment of expenditures after pandemic as ESSER funding closes out

Certified Enrollment Trend

Information and Computation:

Year	Enrollment	# Increase	% Increase
October 1, xxxx			
2016	13,981.6	310.4	2.27%
2017	14,197.6	216.0	1.54%
2018	14,285.1	87.5	0.62%
2019	14,571.6	286.5	2.01%
2020	14,283.8	-287.8	-1.98%
2021	14,394.9	111.1	0.78%



Purpose: Measures enrollment trend for financial forecasting.

Trend: Higher

Target: Stable or increasing is most desirable for this indicator.

Need/Concern: ICCSD continues to experience trend of student enrollment growth which represents increased resources but also puts pressure on existing facility space and support systems. However, October 2020 enrollment was significant decline due to COVID 19 that will have budget implications for future fiscal years. October 2021 provided partial recovery and return to upward trend. October 2022 increase of 45 students may indicate slowing growth trend and need to monitor expenditures

Corrective Action: Accurate enrollment forecasting is essential to proper planning.

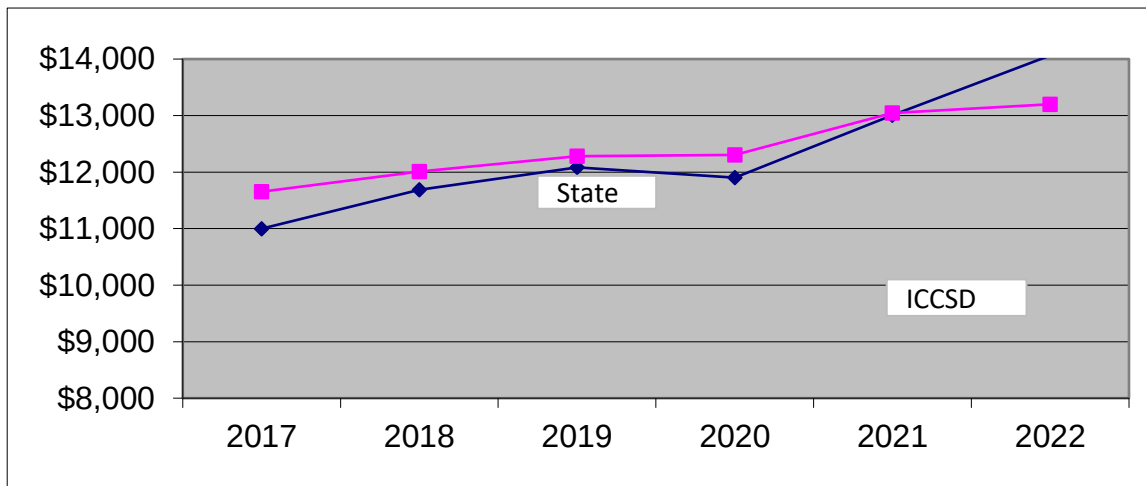
General Fund Per Pupil Cost

Formula:

$$\frac{\text{Total General Fund Expenditures}}{\text{Certified Enrollment}}$$

Financial Information and Computation:

Year	Total Expenditures	Certified Enrollment	District Per Pupil Expenditures	State Average Per Pupil Expenditures
CAR reference	ExpGF C8L42			
2017	\$153,782,608	13,981.6	\$10,999	\$11,653
2018	\$165,961,057	14,197.6	\$11,689	\$12,011
2019	\$172,645,991	14,285.1	\$12,086	\$12,283
2020	\$173,399,140	14,571.6	\$11,900	\$12,306
2021	\$185,798,102	14,283.8	\$13,008	\$13,046
2022	\$202,435,544	14,394.9	\$14,063	\$13,200



Purpose:

One measure of efficiency within the general fund.

Trend:

Stable to Higher

Target:

Stable is desirable for this indicator.

Need/Concern:

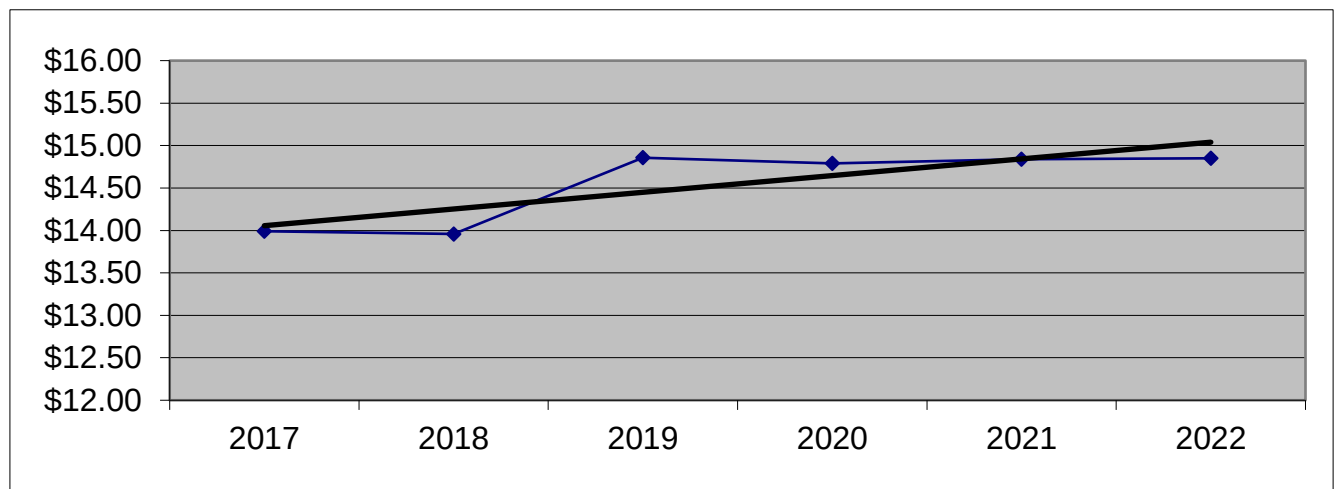
Continue to be efficient in all aspects of instruction delivery and support operations. Increased ESSER funding impacted amounts per student

Corrective Action:

As ESSER funding declines and enrollment levels out, need for expenditure control will be critical

Total Tax Rate History by Fund

Year	General	Management	PPEL	Debt	Total Rate
2017	\$11.02182	\$0.74736	\$1.67000	\$0.55017	\$13.98935
2018	\$10.96919	\$0.79068	\$1.67000	\$0.52868	\$13.95855
2019	\$10.46134	\$0.76955	\$1.67000	\$1.95540	\$14.85629
2020	\$10.40627	\$1.26603	\$1.67000	\$1.44867	\$14.79097
2021	\$10.82216	\$0.55934	\$1.67000	\$1.78785	\$14.83935
2022	\$10.51684	\$0.93752	\$1.67000	\$1.72630	\$14.85066



Purpose: Measures local taxation effort.

Trend: Stable to higher

Target: Stable is desirable for this indicator.

Need/Concern: ICCSD voters approved a \$191.525M G.O. Bond referendum September 17, 2017. ICCSD completed third and final sale of this debt in FY20 to complete the Facility Master Plan projects. Tax rates increased by 95 cents as a result of this G.O. debt 2019

Corrective Action: None at this time.